policy on the handling of the trade imbalance is the need of the economy, as are restrictions on FDI from China that also takes industry concerns more fully into account. The easing of doing business with China, which the market expects, should mean the early resumption of direct connectivity as well as a liberalisation of travel arrangements.

The greater concern going forward ought to be the surreptitious manner by which China is applying industrial 'sanctions'. It stems from their anxiety that India seeks to replace them as the next global manufacturing centre—an anxiety exacerbated by the successful transition of Apple to India. China wants India to be an integral part of its own supply chain rather than a substitute for it. Different methods are being applied in the pursuit of this strategic objective. The export of key industrial machinery, such as tunnel boring machinery, which is critical for infrastructure or offshore oil drilling equipment, has faced what one foreign dignitary described as 'extraordinary circumstances' with China's customs authorities hindering deliveries to India. In other cases, such as the pharmaceutical or solar energy sectors where the government's PLI schemes are creating alternative supply chains for intermediate products, they resort to predatory pricing practices to thwart Indian policy. Then, there are market rumours that China has specifically denied the transfer of technology by manufacturers of lithium-ion fuel cells, which is the most critical part of the electric mobility value chain, to keep the Indian EV industry overdependent on China. Their restricting critical mineral exports to India through a combination of market-share control over rare earths resources as well as their extraction and processing, and through tighter export controls, with the aim of delaying India's indigenisation efforts in the wind, solar and EV industries, is a distinct possibility in the foreseeable future that needs to be closely monitored.

This subtle and undeclared coercion will need concerted action on the part of both the government and industry. The expansion and diversification of global supply chains in order to reduce dependence on China requires being more open-minded about trade partnerships. The government is building consortiums like QUAD or joining mechanisms like the Mineral Security Partnership in order to reduce single-source dependencies and to create alternative producers of critical components and products. But, as yet, there is little concrete outcome. Project-specific collaboration with developed countries who face similar challenges arising from the denial of Chinese technology, especially in the green growth sectors, is the need of the hour. India's relationship with Russia should be leveraged too, given its vast rare earths resources, in the extraction and refining of nickel and cobalt. India also needs to incentivise its own industry to establish, through technology collaboration, the capacity for refining rare earths, over which China currently holds a near-monopoly. China's strong commercial interest in penetrating the Indian market should be leveraged for technology transfer. They need India's growing market to become the leading power, and the clear message should be that they cannot have it if they bottleneck the trade in tools and technology that are critical to India's economic growth and security. The path to India's market lies through mutual benefit.

CHINA NEEDS INDIA'S MARKET TO BECOME A LEADING POWER. BUT **THEY CANNOT HAVE IT IF THEY BOTTLENECK** THE TRADE IN TOOLS AND TECHNOLOGY CRITICAL TO INDIA'S ECONOMIC GROWTH

The competition in the neighbourhood will intensify. Sri Lanka and Bangladesh will, likely, follow the Maldives and Nepal in leveraging their geostrategic location to secure Belt-and-Road benefits. The government has wisely focused on mutually advantageous capacity-building and connectivity with the neighbours. Limited collaboration with China in BRICS and other plurilateral platforms is also possible as both navigate the uncertainties of the second coming of US President Donald Trump. The hedging strategy pursued by India in building strong relationships with the US, Australia, Japan, ROK and the Southeast Asian states that share concerns about the Indo-Pacific region has served its security interests well enough. It will go forward, notwithstanding recent political developments in Washington, Seoul and Tokyo.

There is no guarantee that peace and tranquility will prevail along the LAC in 2025. China still thinks grey zone warfare is a cheap option to place fetters on India without serious backlash. Talk-and-deter must continue to remain the dual approach to dealing with China. Supply chain diversification must proceed on war footing with substantial financial support being given to industry-driven R&D to ensure that India's green agenda is not hostage to Chinese economic action. Trade defence measures should not derail the economy. And, the government needs to have a plan to better educate and prepare the citizens for long-term competition with China. ■

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